! AAA last-day sheet — banks, NBFCs and the rest (Ethics left out)

Every figure is from ICAI's study material (May 2026 edition) and the Nov 2026 RTP. **Red = changed by the Nov 2026 RTP.**

I. Bank audit — numbers to remember

Point	Rule
NPA (non-performing asset) — bank	Interest / instalment overdue **more than 90 days**. Dating: due date D unpaid → overdue from D; **SMA-1 at D+30, SMA-2 at D+60, NPA at D+90** (SMA = special mention account).
Classification basis	**Borrower-wise**, not facility-wise — one facility NPA → all NPA. On past-due record, not just the 31 March balance.
Limit not reviewed / renewed	Not reviewed within **180 days** of due date → NPA. Renewal letter issued after 31 March but before audit report = adjusting event (AS 4) → standard.
Drawing power (DP)	Stock statement used for DP not older than **3 months**. Temporary extra limit up to **20%** of limit for max **90 days**. Temporary DP shortfall alone ≠ NPA.
Central vs State Government guarantee	**Central**-guaranteed loan becomes NPA only when guarantee **invoked and repudiated**; **State**-guaranteed → NPA after 90 days like any loan. Income on NPA only when realised.
Restructuring	Standard → becomes **sub-standard** on restructuring; NPA stays in same category; no retrospective restructuring.
Sale of NPA	Seller: only NPAs **at least 2 years** old in its books; without recourse; cash, full price upfront; price below net book value → loss to P&L; above → excess provision not reversed. Buyer: recoveries first against cost; **100% risk weight**.
Capital (CRAR = capital to risk-weighted assets ratio)	Banks: minimum **9%** ongoing. Illustration risk weights: housing loan up to ₹75 lakh 50%, above ₹75 lakh 75%, commercial real estate 100%.
CRR / SLR / DTL	**CRR** (cash reserve ratio) = minimum % of deposits kept as cash/deposit with RBI (BR Act for banking companies, RBI Act for scheduled banks). **SLR** (statutory liquidity ratio) = liquid assets (cash, gold, approved securities) before lending — **s.24 BR Act**. Central auditors verify on **odd dates in different months, not Fridays**; Form A return (CRR), Form VIII (SLR); report to top management and RBI. **DTL** (demand and time liabilities): *exclude* capital, reserves, RBI loans, refinance (EXIM/NHB/NABARD/SIDBI), part-recoveries on bad debts, margins on funded facilities; *include* interest accrued on deposits (booked or not), net credit balance in branch adjustment, adverse Nostro mirror balance.
Other bank limits	Inward clearing cheque **₹5 lakh+** → branch calls customer. Bulk deposit = **₹2 crore+**. Dormant account = no transaction **over 2 years**. **s.9 BR Act**: non-banking immovable property not held over **7 years** unless own use. **s.15 BR Act**: no dividend until adequate bad-debt provision. Investments: HTM / HFT / AFS at acquisition; **AFS → HTM needs Board approval**; non-performing investment = due over 90 days. RBI balance: entries unresponded **over 15 days**.
Appointment	Banking company → shareholders at AGM; nationalised bank → its Board; **prior RBI approval** both. Central statutory auditors = 4+ firms jointly; private banks: no mandatory branch audit. Plus **LFAR** (long form audit report).

Bank provisioning % rates are not in the Final SM (it refers to Intermediate). Don't mix with NBFC rates below.

2. NBFC audit — numbers to remember

Point	Rule
Registration and NOF (net owned fund)	s.45-IA RBI Act: certificate of registration (CoR) + NOF. New NBFCs NOF **₹10 crore**. Glide path to ₹10 crore by 31 March 2027 for ICC, MFI, Factor (ICC ₹2 → ₹5 cr by Mar 2025 → ₹10 cr by Mar 2027). **From 1 July 2026: no public funds + no customer interface + assets below ₹1,000 cr → exempt (Type 1 – Exempt, may deregister by 31 Dec 2026); above ₹1,000 cr → Type 1 registered; public funds or customer interface → Type 11 registered.**
Layers	**Base**: non-deposit, assets below ₹1,000 cr (and always P2P, AA). **Middle**: all deposit-taking (any size), non-deposit ₹1,000 cr+, HFCs, CICs, IFCs. **Upper**: identified by RBI; top 10 by size. **Top**: ideally empty.
NPA — NBFC	Glide path: **over 90 days from 31 March 2026** (150 days 2024, 120 days 2025). Sub-standard: NPA up to **18 months (Base) / 12 months (Middle+)**; then doubtful.
Provisions	Sub-standard **10%**. Doubtful: unsecured part **100%** + secured part **20% (≤1 yr), 30% (1–3 yrs), 50% (>3 yrs)**. Loss **100%**. Standard: Base **0.25%**; **Middle 0.40% (incl. microfinance); Upper: housing/SME 0.25%, teaser 2%, CRE-RH 0.75%, CRE 1%, others 0.40%; extra 5% on each restructuring.**
Capital	**Gold-loan NBFC (≥50% gold loans): Tier 1 12%, CRAR 15%. Middle and above: Tier 1 10%, CRAR 15%. Upper: + CET1 9%. Base: no CRAR — leverage (outside liabilities ÷ owned fund) ≤ 7.**
Risk weights	Cash, Govt securities, staff loans 0%; PSB bonds 20%; shares, ICDs, secured loans 100%; consumer credit, credit cards **125%**. **High-quality infra loans: 75% (≥2% repaid) / 50% (≥5% repaid); ROU assets 100%.**
Reports by NBFC auditor	Additional report to the **Board** (Parts A–D: CoR, NOF, deposits, CRAR, prudential norms, NBS-7). **Exception report** to RBI (Department of Non-Banking Supervision) — only contraventions. **Statutory Auditor's Certificate**: within **5 working days of signing the audit report, not later than 31 December**. CARO 3(xvi) (RBI registration), 3(iii) (loans overdue over 90 days).
Deposits / fraud	Rating downgraded below investment grade → stop new deposits, report to RBI within **15 working days**. Fraud reporting even without intent: cash shortage **over ₹10,000**, or over ₹5,000 not reported.
NBFC-MFI	**≥60% of assets in microfinance loans; fails 4 consecutive quarters → remediation plan to RBI.**

3. Bank vs NBFC — look the same, answer differs

Point	Bank	NBFC
NPA days	90 days	90 days from 31 Mar 2026 (glide path 150 → 120 → 90)
Sub-standard → doubtful	Rates/periods not in Final SM (Inter)	18 months (Base) / 12 months (Middle+)
Standard asset provision	Sector-wise per RBI (not in SM)	Base 0.25%; Middle 0.40%; Upper category-wise
Minimum capital	CRAR 9%	CRAR 15% (Middle+), Tier 1 10% / gold 12%; Base: leverage ≤ 7
Consumer credit risk weight	—	125%
Purchased NPA risk weight	100%	—
Regulator reporting	LFAR; CRR/SLR certificates	Board report Parts A–D; exception report to RBI; SAC
Deposits	Demand + term; DICGC insured	No demand deposits, no cheques, no DICGC

4. Reporting (Ch 7) and completion (Ch 6)

If the case says…	Use
Matter of most significance, listed company	**KAM** — SA 701 (determine from TCWG matters → significant attention → most significance)
Already disclosed, fundamental to users' understanding	**Emphasis of Matter** — SA 706 (must be appropriately disclosed; not a KAM)
Not in FS, relevant to understanding the audit/report	**Other Matter** — SA 706 (e.g. branches audited by others)
Material, not pervasive / pervasive / can't get evidence	SA 705: **Qualified ("except for")** / **Adverse** / **Disclaimer** (possible effects material + pervasive)
Going concern	SA 570: basis inappropriate → **adverse**; uncertainty adequately disclosed → **"Material Uncertainty Related to Going Concern"** section; not disclosed → qualified/adverse
Event after year end	SA 560: up to report date → obtain evidence; after report, before issue → discuss, amend; after issue → new report / prevent reliance
Written representations	SA 580: dated as near as practicable to, but **not after**, report date

- → **s.143(12) fraud**: **₹1 crore or more** → to Board/Audit Committee within **2 days**, reply in **45 days**, to Central Government within **15 days**; below ₹1 crore → Audit Committee/Board within 2 days. Penalty: ₹5 lakh listed / ₹1 lakh others.
- → **IFC (internal financial controls) reporting** not for private company with turnover **< ₹50 crore** and borrowings **< ₹25 crore**, or OPC / small company.
- → **CARO 2020** exempt: banks, insurance, section 8, OPC, small companies, and private companies (not holding/subsidiary of public) meeting all three limits (capital+reserves ≤ ₹1 crore, borrowings ≤ ₹1 crore, revenue ≤ ₹10 crore). Key clauses: 3(ii) (b) working capital > ₹5 crore — quarterly returns; 3(vii) undisputed dues > 6 months; 3(xi) fraud; 3(xvi) RBI registration; 3(xix) liabilities within one year; 3(xx) CSR unspent to Schedule VII fund within 6 months; 3(xxi) only clause for consolidated FS.
- → **SEBI resignation (listed)**: resign within 45 days of quarter end → issue report for that quarter.

5. Quality control (Ch 1)

- → **SQC 1** = firm level, all engagements, 6 elements: leadership; ethical requirements; acceptance and continuance; human resources; engagement performance; monitoring. **SA 220** = one audit, engagement partner.
- → **File assembly** within **60 days** of audit report · **retention** at least **7 years** · listed audit partner **rotation** normally within **7 years** · independence confirmation **at least annually** · EQCR (engagement quality control review) completed before report is issued.

6. PSU, internal audit, due diligence, group audit

Topic	Must-write
PSU (Ch 15)	Government company = **51%+** held by Central/State Government(s) (s.2(45)); C&AG appoints auditors, directs manner of audit (**s.143(5)**), comments, supplementary audit, test audit. C&AG term **6 years or age 65**. **Propriety audit** = wasteful/avoidable expenditure even if within rules; **performance audit** = economy, efficiency, effectiveness.
Internal audit (Ch 16)	**s.138 / Rule 13**: listed companies; unlisted public with paid-up capital ₹50 cr+ or turnover ₹200 cr+ or borrowings over ₹100 cr or deposits ₹25 cr+; private with turnover ₹200 cr+ or borrowings over ₹100 cr (preceding year). Comply within **6 months**. Use of internal audit by statutory auditor: SA 610.
Due diligence vs investigation vs audit (Ch 17)	Audit = opinion on FS, periodic. Investigation = specific purpose, fact-finding, no fixed period, may need 100% check. Due diligence = before a deal (acquisition, loan): financial, tax, legal, commercial checks; projections for 5 years. Forensic = evidence for court (fraud).
Group audit (Ch 13)	s.129(3) consolidated FS + Form AOC-1. Subsidiary year-end difference max **6 months (AS) / 3 months (Ind AS)**. Other auditors' work → Other Matter paragraph. CARO: only 3(xxi).

Answer frame: Provision (SA / section / clause) → facts → analysis → one-line conclusion. Write the RTP figure where red.